

**Time:** 5 minutes**Outcome:** Evaluate Oligopoly Welfare, Mergers & Antitrust Tradeoffs.**Difficulty:** ●●○ Intermediate

Oligopoly Welfare, Mergers & Antitrust Tradeoffs



THE CORE IDEA

Oligopoly and merger policy weighs the risk of reduced rivalry against verifiable efficiencies, innovation, entry, and consumer effects. Policy weighs market-power risk against verifiable benefits. A sound evaluation combines structure, strategic conduct, efficiency claims, and market responses. The core welfare concern is reduced rivalry that raises prices, restricts output, and can create deadweight loss. Oligopoly welfare requires integrating several margins rather than treating one statistic as decisive.



HOW TO RECOGNIZE IT

- A sound evaluation combines structure, strategic conduct, efficiency claims, and market responses.
- The core welfare concern is reduced rivalry that raises prices, restricts output, and can create deadweight loss.
- A concentrated industry has high prices, strong product innovation, and frequent entry by niche rivals.
- A student sees several firms charge the same price and immediately labels the behavior collusion.
- A merger creates a larger research budget but also reduces head-to-head price competition.



WATCH OUT

A common mistake is to equate cartel profit with dwl. DWL is the triangle between demand and MC over the lost output. Oligopoly policy requires evidence about conduct, entry, efficiencies, and consumer effects.



WORKED EXAMPLE: WEIGHING MERGER EFFECTS

A merger raises the HHI and may increase market power, but the statistic alone is not the verdict. Suppose the merged firm can cut marginal cost by \$4 per unit and entry remains easy. An antitrust evaluation compares the likely price and output effects of reduced rivalry with the verifiable efficiency and entry evidence before reaching a conclusion.



CHECK YOURSELF

Does a higher post-merger HHI settle the welfare question?

**READY?**

Return to the game and master this concept.